SUBSTITUTE FOR

HOUSE BILL NO. 5806

A bill to amend 1967 PA 281, entitled

"Income tax act of 1967,"

(MCL 206.1 to 206.847) by adding sections 279 and 679.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

Sec. 279. (1) Except as otherwise provided under this section, for tax years that begin on and after January 1, 2027, a qualified taxpayer with an eligibility statement and named in an allocation report required under section 22e of the state housing development authority act of 1966, 1966 PA 346, MCL 125.1422e, may, in a form and manner as determined by the department, claim a housing opportunity tax credit against the tax imposed under this part equal to the lesser of the amount stated in the eligibility statement for the applicable tax year or the qualified taxpayer's

allocated share stated on the allocation report for the applicable tax year. A qualified taxpayer claiming a housing opportunity tax credit under this section shall attach a copy of the eligibility statement to the annual return filed under this part on which a housing opportunity tax credit under this section is claimed. However, if the owner of the qualified project for which an award was approved has submitted a final cost certification and a request for an eligibility statement to the authority, but the authority has not yet approved the final cost certification and issued the eligibility statement for the housing opportunity tax credit prior to the qualified taxpayer filing its annual return under this part on which a housing opportunity tax credit is claimed under this section, the qualified taxpayer may claim the housing opportunity tax credit based upon the amount of the housing opportunity tax credit set forth in the reservation letter issued under section 22e of the state housing development authority act of 1966, 1966 PA 346, MCL 125.1422e, for that qualified project. The qualified taxpayer shall attach a copy of the reservation letter to that annual return. Once the eligibility statement is issued, if the amount of the housing opportunity tax credit allowed under that eligibility statement is different than the reservation letter and the amount actually claimed on the annual return for that same tax year, then the qualified taxpayer must file an amended return to adjust the amount of the housing opportunity tax credit claimed accordingly and attach a copy of the eligibility statement to that amended return. Alternatively, if the eligibility statement has not been issued by the authority before the end of the qualified taxpayer's tax year to which the housing opportunity tax credit relates, the qualified taxpayer may defer claiming the housing

opportunity tax credit that tax year and claim the housing opportunity tax credit on a tax return for the tax year in which the authority issued the eligibility statement.

(2) If any portion of a federal low-income housing tax credit claimed for a qualified project for which a housing opportunity tax credit is also claimed under this section is required to be recaptured or is otherwise disallowed during the credit period under section 42 of the internal revenue code as reported under section 22e(7) of the state housing development authority act of 1966, 1966 PA 346, MCL 125.1422e, the qualified taxpayer that claimed the housing opportunity tax credit under this section for that same qualified project is also required to recapture a portion of the housing opportunity tax credit as provided under this subsection. The percentage of the housing opportunity tax credit subject to recapture must be equal to the percentage of federal low-income housing tax credit subject to recapture or otherwise disallowed during the same tax year. Any housing opportunity tax credits recaptured or disallowed must be added back to the income tax liability of the qualified taxpayer that claimed the housing opportunity tax credit in a like amount and must be included on the annual return of the qualified taxpayer submitted for the tax year in which the recapture or disallowance event is identified on the federal return.

(3) If the qualified taxpayer is a member of flow-through entity that was allocated all or part of a housing opportunity tax credit for a qualified project under section 22e(6) of the state housing development authority act of 1966, 1966 PA 346, MCL 125.1422e, the member may claim the member's allocated share of the housing opportunity tax credit as reported on the allocation report

for the tax year against the member's tax liability under this part.

(4) The housing opportunity tax credit allowed under this section must be claimed after all other nonrefundable credits allowed under this part. If the housing opportunity tax credit allowed under this section for the tax year and any unused carryforward of the housing opportunity tax credit allowed by this section exceed the qualified taxpayer's tax liability for the tax year, that portion that exceeds the tax liability for the tax year must not be refunded but may be carried forward to offset tax liability in subsequent tax years for 10 years or until used up, whichever occurs first. If a qualified taxpayer has an unused carryforward of a housing opportunity tax credit under this section, the amount otherwise added under subsection (2) to the qualified taxpayer's tax liability may instead be used to reduce the qualified taxpayer's carryforward under this section.

(5) As used in this section:

(a) "Allocation report", "award", "credit period", "eligibility statement", "federal low-income housing tax credit", "housing opportunity tax credit", "owner", and "qualified project" mean those terms as defined under section 22e of the state housing development authority act of 1966, 1966 PA 346, MCL 125.1422e.

(b) "Authority" means the Michigan state housing development authority created under section 21 of the state housing development authority act of 1966, 1966 PA 346, MCL 125.1421.

(c) "Qualified taxpayer" means a taxpayer that is the owner of a qualified project that was issued an eligibility statement for a housing opportunity tax credit or a taxpayer that owns a direct or indirect, through the owner or 1 or more other flow-through

entities, interest in a qualified project for which an eligibility statement was issued for a housing opportunity tax credit and all or a portion of that credit has been allocated to that taxpayer at any time prior to filing an annual or amended return under this part on which a housing opportunity tax credit under this section is claimed.

Sec. 679. (1) Except as otherwise provided under this section, for tax years that begin on and after January 1, 2027, a qualified taxpayer with an eligibility statement and named in an allocation report required under section 22e of the state housing development authority act of 1966, 1966 PA 346, MCL 125.1422e, may, in a form and manner as determined by the department, claim a housing opportunity tax credit against the tax imposed under this part equal to the lesser of the amount stated in the eligibility statement for the applicable tax year or the qualified taxpayer's allocated share stated on the allocation report for the applicable tax year. A qualified taxpayer claiming a housing opportunity tax credit under this section shall attach a copy of the eligibility statement to the annual return filed under this part on which a housing opportunity tax credit under this section is claimed. However, if the owner of the qualified project for which an award was approved has submitted a final cost certification and a request for an eligibility statement to the authority, but the authority has not yet approved the final cost certification and issued the eligibility statement for the housing opportunity tax credit prior to the qualified taxpayer filing its annual return under this part on which a housing opportunity tax credit is claimed under this section, the qualified taxpayer may claim the housing opportunity tax credit based upon the amount of the housing opportunity tax

credit set forth in the reservation letter issued under section 22e of the state housing development authority act of 1966, 1966 PA 346, MCL 125.1422e, for that qualified project. The qualified taxpayer shall attach a copy of the reservation letter to that annual return. Once the eligibility statement is issued, if the amount of the housing opportunity tax credit allowed under that eligibility statement is different than the reservation letter and the amount actually claimed on the annual return for that same tax year, then the qualified taxpayer must file an amended return to adjust the amount of the housing opportunity tax credit claimed accordingly and attach a copy of the eligibility statement to that amended return. Alternatively, if the eligibility statement has not been issued by the authority before the end of the qualified taxpayer's tax year to which the housing opportunity tax credit relates, the qualified taxpayer may defer claiming the housing opportunity tax credit that tax year and claim the housing opportunity tax credit on a tax return for the tax year in which the authority issued the eligibility statement.

(2) If any portion of a federal low-income housing tax credit claimed for a qualified project for which a housing opportunity tax credit is also claimed under this section is required to be recaptured or is otherwise disallowed during the credit period under section 42 of the internal revenue code as reported under section 22e(7) of the state housing development authority act of 1966, 1966 PA 346, MCL 125.1422e, the qualified taxpayer that claimed the housing opportunity tax credit under this section for that same qualified project is also required to recapture a portion of the housing opportunity tax credit as provided under this subsection. The percentage of the housing opportunity tax credit

subject to recapture must be equal to the percentage of federal low-income housing tax credit subject to recapture or otherwise disallowed during the same tax year. Any housing opportunity tax credits recaptured or disallowed must be added back to the income tax liability of the qualified taxpayer that claimed the housing opportunity tax credit in a like amount and must be included on the annual return of the qualified taxpayer submitted for the tax year in which the recapture or disallowance event is identified on the federal return.

(3) If the qualified taxpayer is a member of a flow-through entity that was allocated all or part of a housing opportunity tax credit for a qualified project under section 22e(6) of the state housing development authority act of 1966, 1966 PA 346, MCL 125.1422e, the member may claim the member's allocated share of the housing opportunity tax credit reported on the allocation report for the tax year against the member's tax liability under this part.

(4) The housing opportunity credit allowed under this section must be claimed after all other nonrefundable credits allowed under this part. If the housing opportunity tax credit allowed under this section for the tax year and any unused carryforward of the housing opportunity tax credit allowed by this section exceed the qualified taxpayer's tax liability for the tax year, that portion that exceeds the tax liability for the tax year must not be refunded but may be carried forward to offset tax liability in subsequent tax years for 10 years or until used up, whichever occurs first. If a qualified taxpayer has an unused carryforward of a housing opportunity tax credit under this section, the amount otherwise added under subsection (2) to the qualified taxpayer's tax

liability may instead be used to reduce the qualified taxpayer's carryforward under this section.

(5) As used in this section:

(a) "Allocation report", "award", "credit period", "eligibility statement", "federal low-income housing tax credit", "housing opportunity tax credit", "owner", and "qualified project" mean those terms as defined under section 22e of the state housing development authority act of 1966, 1966 PA 346, MCL 125.1422e.

(b) "Authority" means the Michigan state housing development authority created under section 21 of the state housing development authority act of 1966, 1966 PA 346, MCL 125.1421.

(c) "Qualified taxpayer" means a taxpayer that is the owner of a qualified project that was issued an eligibility statement for a housing opportunity tax credit or a taxpayer that owns a direct or indirect, through the owner or 1 or more other flow-through entities, interest in a qualified project for which an eligibility statement was issued for a housing opportunity tax credit and all or a portion of that credit has been allocated to that taxpayer at any time prior to filing an annual or amended return under this part on which a housing opportunity tax credit under this section is claimed.

Enacting section 1. This amendatory act does not take effect unless all of the following bills of the 103rd Legislature are enacted into law:

(a) House Bill No. 5101.

(b) House Bill No. 5805.

(c) House Bill No. 5807.